

AUDITED INCOME AND EXPENSE STATEMENT

RWAI Asset Tokenization Package | Mantle Network

ENGAGEMENT AND PROPERTY DETAILS

Property: 142 West 72nd Street, Unit 8C, New York, NY 10023

Owner Entity: Meridian Capital Holdings LLC (Delaware LLC)

Fiscal Year: January 1, 2023 - December 31, 2023

Prepared By: Grant Thornton LLP, New York Office

Engagement Partner: Michael K. Davis, CPA, License #058492

Report Date: February 15, 2024

Audit Standard: US GAAP (Generally Accepted Accounting Principles)

Audit Opinion: UNQUALIFIED - Statements present fairly in all material respects

Purpose: Support RWA tokenization on Mantle Network (Reg D 506(b) offering)

REVENUE

Gross Potential Rental Income (12 months x \$13,000/mo): \$156,000

Less: Vacancy and Credit Loss (3.5%): -\$5,460

Plus: Other Income (storage sublease, laundry): +\$2,400

EFFECTIVE GROSS INCOME (EGI): \$152,940

OPERATING EXPENSES (ITEMIZED)

Property Tax - NYC Class 2 (FY2023 actual): -\$28,400

HOA / Common Charges (\$1,500/month x 12): -\$18,000

Property Insurance (Nationwide Policy #NW-4829017): -\$3,200

Property Management Fee (7% of EGI): -\$10,706

Repairs and Maintenance (actual 2023, receipts on file): -\$2,890

Capital Reserve (1.5% of appraised value per yr): -\$3,600

Professional Services (legal, CPA, filing fees): -\$2,200

Utilities - owner paid (water, common area electric): -\$1,200

Miscellaneous operating expenses: -\$744

TOTAL OPERATING EXPENSES: -\$70,940

NET OPERATING INCOME AND CASH FLOW

NET OPERATING INCOME (NOI): \$82,000

Less: Debt Service (property held free and clear): \$0

CASH FLOW BEFORE INCOME TAX: \$82,000

YIELD ANALYSIS (for RWA tokenization):

Cash-on-Cash Yield (NOI / Value \$2,450,000): 3.35%

Gross Yield (EGI / Value): 6.24%

Blended Annual Yield (5-year average projected): 4.78% APY

Annual Yield in Basis Points: 478 bps

5-Year NOI Growth Projection (CAGR): 3.2%

10-Year IRR (projected, assuming 3% annual appreciation): 8.4%

TOKENIZATION PARAMETERS (RWAI Platform)

Suggested Token Name: West 72 Manhattan Realty Token

Suggested Symbol: WEST72

Asset Type: real_estate

Underlying Asset Value: \$2,450,000 USD

Suggested Token Supply: 2,450,000 tokens
Price Per Token: \$1.00 USD
Annual Yield Per Token: \$0.0478 (4.78% APY, 478 bps)
Distribution Frequency: Quarterly pro-rata to token holders
Minimum Investment: 1,000 tokens (\$1,000 USD)
Investor Eligibility: Accredited investors only - Reg D Rule 506(b)
Jurisdiction: US-NY | Exemption: Reg D Rule 506(b) - Private Placement

FIVE-YEAR FINANCIAL PROJECTION

Year 1 (2024): NOI \$84,600 | Yield 4.78% | Asset Value \$2,450,000
Year 2 (2025): NOI \$87,300 | Yield 4.93% | Asset Value \$2,528,500
Year 3 (2026): NOI \$90,100 | Yield 5.09% | Asset Value \$2,609,400
Year 4 (2027): NOI \$93,000 | Yield 5.26% | Asset Value \$2,693,000
Year 5 (2028): NOI \$96,000 | Yield 5.42% | Asset Value \$2,779,700
Projected 5-Year Total Return: 47.2% (appreciation + yield combined)

AUDITOR CERTIFICATION

Grant Thornton LLP certifies that the above income and expense statement has been prepared in accordance with US GAAP and presents fairly, in all material respects, the financial performance of 142 West 72nd Street, Unit 8C for the fiscal year ended December 31, 2023.

Michael K. Davis, CPA | Engagement Partner | License #058492
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Signature Date: February 15, 2024 | PCAOB Registered Firm